

COMMITTEE ON FEDERALISM
SENATE AMENDMENTS TO S.B. 1281
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 11, chapter 3, article 3, Arizona Revised
3 Statutes, is amended by adding section 11-485, to read:

4 11-485. Federal government land acquisition; recording of
5 deed; prohibition

6 [~~NOTWITHSTANDING ANY OTHER LAW~~] [~~EXCEPT AS PROVIDED IN SECTION~~
7 ~~37-620.02~~], A COUNTY RECORDER MAY NOT RECORD A DEED THAT TRANSFERS REAL
8 PROPERTY TO THE FEDERAL GOVERNMENT.

9 Sec. 2. Section 37-620.02, Arizona Revised Statutes, is amended to
10 read:

11 37-620.02. State consent required; acquisition of private
12 real property by the United States; joint
13 resolution; exceptions

14 A. Pursuant to article I, section 8, clause 17, ~~of the~~ Constitution
15 of the United States, the consent of this state may NOT be given to the
16 acquisition, ~~of~~ SALE, GIFT OR GRANT OR ANY OTHER TRANSFER OF AN OWNERSHIP
17 INTEREST IN any ~~other~~ privately owned real property within this state THAT
18 IS NOT IN THE POSSESSION OF ANY FEDERAL AGENCY AS OF THE EFFECTIVE DATE OF
19 THIS AMENDMENT TO THIS SECTION by the United States ~~only upon~~ THAT WOULD
20 REMOVE THE REAL PROPERTY FROM STATE, COUNTY AND MUNICIPAL PROPERTY TAX
21 ROLLS WITHOUT THE EXPRESS, AFFIRMATIVE CONSENT OF THE LEGISLATURE AND THE
22 GOVERNOR THROUGH the governor's signing OF a joint resolution adopted by
23 AN AFFIRMATIVE VOTE OF A MAJORITY OF THE MEMBERS OF the legislature to
24 that effect. The joint resolution shall recite the legal description of
25 the land and the purposes to which ~~the~~ THIS state consents that the
26 property may be used.

1 B. THIS SECTION DOES NOT[:
2 1.] LIMIT THE RIGHTS OF ANY INDIAN TRIBE WITH RESPECT TO THE
3 TRIBE'S INDIAN LANDS, RESERVATIONS AND LANDS ACQUIRED AS A SETTLEMENT OF A
4 LAND CLAIM.
5 [2. APPLY TO LAND EXCHANGES THAT ARE APPROVED BY CONGRESS OR A
6 FEDERAL ADMINISTRATIVE AGENCY.
7 3. APPLY TO PROPERTY THAT THE FEDERAL GOVERNMENT ACQUIRES AS PART
8 OF THE RECLAMATION OF ABANDONED MINES.]
9 <<Sec. 3. Section 37-620.03, Arizona Revised Statutes, is amended
10 to read:
11 37-620.03. National monuments; catalog; notification;
12 litigation; definition
13 A. The department shall maintain a catalog of each existing or
14 newly created ~~[national monument]~~ [COVERED FEDERAL DESIGNATION] in this
15 state. For each ~~[national monument]~~ [COVERED FEDERAL DESIGNATION], the
16 department shall request from the federal government the following:
17 1. A detailed accounting of each individual item [OF NATURAL,
18 SCENIC, HISTORICAL OR CULTURAL VALUE OR EACH RESOURCE, LANDSCAPE, SPECIES,
19 ECOSYSTEM, HABITAT OR CHARACTERISTIC] to be protected.
20 2. The precise global positioning system location of each item [OF
21 NATURAL, SCENIC, HISTORICAL OR CULTURAL VALUE OR EACH RESOURCE, LANDSCAPE,
22 SPECIES, ECOSYSTEM, HABITAT OR CHARACTERISTIC] to be protected.
23 3. The square footage that each item [OF NATURAL, SCENIC,
24 HISTORICAL OR CULTURAL VALUE OR EACH RESOURCE, LANDSCAPE, SPECIES,
25 ECOSYSTEM, HABITAT OR CHARACTERISTIC] to be protected occupies.
26 4. The total square footage of the parcel of land comprising the
27 ~~[national monument]~~ [COVERED FEDERAL DESIGNATION].
28 5. A peer-reviewed justification for the protection of the ~~[object]~~
29 [ITEM OF NATURAL, SCENIC, HISTORICAL OR CULTURAL VALUE OR THE RESOURCE,
30 LANDSCAPE, SPECIES, ECOSYSTEM, HABITAT OR CHARACTERISTIC] by the federal
31 government.
32 B. The department shall determine whether the limits of a parcel
33 comprising a ~~[national monument]~~ [COVERED FEDERAL DESIGNATION] in this
34 state are confined to the smallest area compatible with the proper care
35 and management of the ~~[objects]~~ [ITEM OF NATURAL, SCENIC, HISTORICAL OR
36 CULTURAL VALUE OR THE RESOURCE, LANDSCAPE, SPECIES, ECOSYSTEM, HABITAT OR
37 CHARACTERISTIC] to be protected by the ~~[national monument]~~ [COVERED
38 FEDERAL DESIGNATION].
39 C. If the department determines pursuant to subsection B of this
40 section that the limits of a parcel comprising a ~~[national monument]~~
41 [COVERED FEDERAL DESIGNATION] in this state are not confined to the
42 smallest area compatible with the proper care and management of the
43 ~~[objects]~~ [ITEM OF NATURAL, SCENIC, HISTORICAL OR CULTURAL VALUE OR THE
44 RESOURCE, LANDSCAPE, SPECIES, ECOSYSTEM, HABITAT OR CHARACTERISTIC] to be
45 protected by the ~~[national monument]~~ [COVERED FEDERAL DESIGNATION], the
46 department shall notify the [PRESIDENT OF THE SENATE, THE SPEAKER OF THE
47 HOUSE OF REPRESENTATIVES AND THE] attorney general. On receipt of the

1 notice, the [PRESIDENT OF THE SENATE, THE SPEAKER OF THE HOUSE OF
2 REPRESENTATIVES OR THE] attorney general may commence an action to confine
3 the limits of the parcel comprising the [~~national monument~~] [COVERED
4 FEDERAL DESIGNATION] to the smallest area compatible with the proper care
5 and management of the [~~objects~~] [ITEM OF NATURAL, SCENIC, HISTORICAL OR
6 CULTURAL VALUE OR THE RESOURCE, LANDSCAPE, SPECIES, ECOSYSTEM, HABITAT OR
7 CHARACTERISTIC] to be protected by the [~~national monument~~] [COVERED
8 FEDERAL DESIGNATION].

9 [D. FOR THE PURPOSES OF THIS SECTION, "COVERED FEDERAL DESIGNATION"
10 MEANS ANY OF THE FOLLOWING:

- 11 1. AN AREA OF CRITICAL ENVIRONMENTAL CONCERN.
- 12 2. A NATIONAL FOREST.
- 13 3. A NATIONAL PARK.
- 14 4. A NATIONAL MONUMENT.
- 15 5. A NATIONAL WILDLIFE REFUGE.
- 16 6. A NATIONAL CONSERVATION AREA.
- 17 7. A NATIONAL RECREATION AREA.
- 18 8. A NATIONAL SCENIC AREA.
- 19 9. A NATIONAL SCENIC TRAIL.
- 20 10. A NATIONAL HISTORICAL TRAIL.
- 21 11. A NATIONAL RECREATION TRAIL.
- 22 12. A ROADLESS AREA.
- 23 13. A WILD AND SCENIC RIVER.
- 24 14. A WILDERNESS AREA.
- 25 15. A WILDERNESS STUDY AREA.]>>

26 Sec. 4. Heading change

27 The chapter heading of title 37, chapter 4, Arizona Revised
28 Statutes, is changed from "ACQUISITION OF PRIVATE REAL PROPERTY BY STATE
29 OR POLITICAL SUBDIVISION" to "ACQUISITION OF PRIVATE REAL PROPERTY BY
30 GOVERNMENT ENTITIES".

31 Sec. 5. Title 37, chapter 4, Arizona Revised Statutes, is amended
32 by adding article 2, to read:

33 ARTICLE 2. ACQUISITION OF PRIVATE REAL
34 PROPERTY BY FEDERAL GOVERNMENT

35 37-821. Sale or transfer of private real property to federal
36 government; notice; joint legislative committee;
37 violation; civil penalty; definitions

38 A. ON THE OPENING OF ESCROW FOR THE SALE OR TRANSFER OF TITLE
39 INTEREST OF PRIVATE REAL PROPERTY TO THE FEDERAL GOVERNMENT OR A FEDERAL
40 AGENCY, THE ESCROW AGENT SHALL DO BOTH OF THE FOLLOWING:

41 1. NOTIFY THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE HOUSE
42 OF REPRESENTATIVES THAT A CONTRACT FOR THE SALE OR TRANSFER OF PRIVATE
43 REAL PROPERTY TO THE FEDERAL GOVERNMENT OR A FEDERAL AGENCY HAS BEEN
44 PLACED IN ESCROW.

45 2. SUBMIT A REQUEST IN WRITING TO THE PRESIDENT OF THE SENATE AND
46 THE SPEAKER OF THE HOUSE OF REPRESENTATIVES FOR APPROVAL OF THE SALE OR

1 TRANSFER PURSUANT TO SECTION 37-620.02 AND ARTICLE I, SECTION 8,
2 CLAUSE 17, CONSTITUTION OF THE UNITED STATES.

3 B. FOR A PRIVATE SALE OR TRANSFER OF PRIVATE REAL PROPERTY TO THE
4 FEDERAL GOVERNMENT OR A FEDERAL AGENCY THAT IS NOT PROCESSED THROUGH
5 ESCROW, THE PRIVATE REAL PROPERTY OWNER SHALL DO BOTH OF THE FOLLOWING:

6 1. NOTIFY THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE HOUSE
7 OF REPRESENTATIVES OF THE SALE OR TRANSFER OF PRIVATE REAL PROPERTY TO THE
8 FEDERAL GOVERNMENT OR A FEDERAL AGENCY.

9 2. SUBMIT A REQUEST IN WRITING TO THE PRESIDENT OF THE SENATE AND
10 THE SPEAKER OF THE HOUSE OF REPRESENTATIVES FOR APPROVAL OF THE SALE OR
11 TRANSFER PURSUANT TO SECTION 37-620.02.

12 C. ON RECEIPT OF THE REQUEST FOR APPROVAL PURSUANT TO SUBSECTION A
13 OR B OF THIS SECTION, THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE
14 HOUSE OF REPRESENTATIVES SHALL APPOINT A JOINT LEGISLATIVE COMMITTEE TO
15 CONSIDER THE REQUEST FOR APPROVAL. IF THE COMMITTEE APPROVES THE REQUEST,
16 THE LEGISLATURE SHALL PREPARE A JOINT RESOLUTION FOR THE LEGISLATURE TO
17 APPROVE THE SALE OR TRANSFER PURSUANT TO SECTION 37-620.02. IF THE
18 COMMITTEE DOES NOT APPROVE THE REQUEST, THIS STATE SHALL EXERCISE THE
19 RIGHT OF FIRST REFUSAL TO PURCHASE THE PRIVATE REAL PROPERTY PURSUANT TO
20 SECTION 37-822.

21 D. ANY STATE AGENCY OR ANY OFFICER OR EMPLOYEE OF A STATE AGENCY
22 THAT IS NOTIFIED OR LEARNS OF A NOTICE FROM THE UNITED STATES DEPARTMENT
23 OF THE INTERIOR REGARDING AN EFFORT TO PLACE PRIVATE REAL PROPERTY LOCATED
24 IN THIS STATE IN TRUST AS PART OF AN INDIAN TRIBE'S SETTLEMENT OF A LAND
25 CLAIM SHALL IMMEDIATELY NOTIFY THE PRESIDENT OF THE SENATE AND THE SPEAKER
26 OF THE HOUSE OF REPRESENTATIVES SO THAT THE LEGISLATURE MAY DO ANY OF THE
27 FOLLOWING, AS APPLICABLE:

- 28 1. PROVIDE COMMENT.
29 2. FILE AN ADMINISTRATIVE APPEAL.
30 3. FILE AN ACTION IN THE APPROPRIATE COURT.

31 E. A PERSON WHO VIOLATES SUBSECTION A OR B OF THIS SECTION IS
32 SUBJECT TO A CIVIL PENALTY OF AT LEAST \$500 BUT NOT MORE THAN \$1,000.

33 F. FOR THE PURPOSES OF THIS SECTION, "ESCROW" AND "ESCROW AGENT"
34 HAVE THE SAME MEANINGS PRESCRIBED IN SECTION 6-801.

35 37-822. Applicability

36 THIS ARTICLE DOES NOT APPLY TO [ANY OF THE FOLLOWING:]

37 1.] A TRUSTEE'S DEED OR MORTGAGE THAT IS INSURED OR HELD BY [:

38 (a)] THE UNITED STATES DEPARTMENT OF HOUSING AND URBAN
39 DEVELOPMENT[.] [~~;~~]

40 [(b)] THE UNITED STATES DEPARTMENT OF VETERANS AFFAIRS[.] [~~OR~~]

41 [(c)] THE FEDERAL HOUSING ADMINISTRATION.

42 [2. LAND EXCHANGES THAT ARE APPROVED BY CONGRESS OR A FEDERAL
43 ADMINISTRATIVE AGENCY.]

44 3. PROPERTY THAT THE FEDERAL GOVERNMENT ACQUIRES AS PART OF THE
45 RECLAMATION OF ABANDONED MINES.]

1 Sec. 6. Legislative findings

2 The legislature finds that:

3 1. At the granting of statehood, the new State of Arizona was
4 granted the exclusive right to all lands not assigned under treaty to the
5 Native American tribes.

6 2. Since the granting of statehood, numerous lands have been
7 retained by the federal government by various means by way of
8 congressional action, thus depriving the State of Arizona of a tax base,
9 which, in comparison to other states, is critical to funding services such
10 as education, public safety and infrastructure.

11 3. There are three primary legal theories available to Arizona to
12 attempt to prove the claim of tax base in existing American jurisprudence,
13 which are, "the equal sovereignty principle," "the equal footing doctrine"
14 and "the compact theory." All three legal theories provide credible
15 support to the claim of a primary interest in state private property tax
16 base.

17 4. Arizona relies on approximately sixteen percent of its land area
18 to fund the critical services of education, infrastructure, public safety
19 and welfare programs, while other states enjoy nearly complete access to
20 their lands to generate a survivable tax base.

21 5. The equal sovereignty principle was recently highlighted by the
22 United States Supreme Court in Shelby County, Ala. v. Holder, 570 U.S. 529
23 (2013), which challenged the requirement of the Voting Rights Act of 1965
24 (P.L. 89-110, 79 Stat. 437) that certain states preclear their voting laws
25 with the United States Department of Justice as a violation of the
26 constitutional requirement that the states in our federal system be equal
27 in sovereignty. The court applied a heightened level of scrutiny to the
28 preclearance requirements because they treated Alabama as unequal in
29 sovereignty and ruled that the preclearance provisions were
30 unconstitutional under the equal sovereignty principle. For the reasons
31 discussed in detail below, the legislature finds that section 102(a)(1) of
32 the federal land policy and management act of 1976 (P.L. 94-579; 90 Stat.
33 2743), which reversed almost two hundred years of federal public lands
34 policy from one of disposal to one of near-permanent retention, treats
35 Arizona as unequal in sovereignty as compared to the states with dominion
36 over the land within their borders. This argument, if adopted by the
37 court, would most likely result in a declaration that the United States
38 cannot forever retain the public lands within Arizona's borders, not an
39 order transferring the public lands to the State of Arizona. Therefore,
40 should the court be persuaded by this argument, a subsequent political
41 solution negotiated by all stakeholders would most likely be required to
42 resolve the issue. A possible outcome of that political process could be
43 Arizona's ownership of those lands.

1 6. The equal footing doctrine is based on the equal sovereignty
2 principle. It requires that states newly admitted to the Union receive
3 all incidents of sovereignty enjoyed by the thirteen original states. The
4 equal footing doctrine considers only sovereign and political rights of
5 the newly admitted states, not economic or geographic differences. The
6 original thirteen states stepped into the shoes of the Crown with regard
7 to dominion over public lands within their borders. Similarly, Vermont,
8 Kentucky, Tennessee, Maine, Texas and Hawaii all came into the Union with
9 dominion over their public lands. Dominion over land has historically been
10 viewed as a key incident of sovereignty, and denial of that dominion
11 negatively impacts sovereignty in a variety of ways. Therefore, in order
12 for Arizona to have been admitted as a co-equal sovereign with the states
13 with dominion over public lands within their borders, Arizona also should
14 have received on admission dominion over the land within its borders. A
15 ruling by the United States Supreme Court based on the equal footing
16 doctrine argument would logically result in the transfer of public lands
17 to the State of Arizona.

18 7. The compact theory posits that the Arizona enabling act was an
19 offer, and Arizona's acceptance of that offer created a solemn compact.
20 Implicit in that compact was the duty of the United States to timely
21 dispose of the public lands within Arizona's borders as it had done with
22 states admitted before Arizona. There is historical support for the
23 position that the United States promised to dispose of the public lands,
24 maintained a policy requiring disposal of public lands and acted on that
25 policy from 1784 through the date of Arizona's admission. There is
26 historical evidence that Arizona and the United States both expected, at
27 the time of Arizona's admission, that the public lands would be disposed
28 of consistent with past practice. There is also historical evidence that
29 the intent of the property clause of the Constitution of the United States
30 was to dispose of public lands, not to forever retain them. Accordingly,
31 an argument can be made that the United States undertook an obligation to
32 dispose of the public lands within Arizona's borders.

33 8. Since the United States has not disposed of the public lands
34 within Arizona, the state relies on less than sixteen percent of the land
35 it has dominion over as tax base to generate tax revenue in order to pay
36 for critical services. Arizona cannot continue to serve the interests of
37 its citizens if the private property tax base is taken without careful
38 contemplation of consequences of such transfers to a government unit, the
39 United States, which does not pay tax, nor does it compensate for the
40 value of the land it controls through payments in lieu of taxes.

41 9. Under article I, section 8, clause 17, Constitution of the
42 United States, the legislature of each state has the sole authority to
43 give its consent of all purchases of land, "to exercise exclusive
44 legislation in all cases whatsoever, over such district (not exceeding ten
45 miles square) as may, by cession of particular states, and the Acceptance
46 of Congress, become the seat of the government of the United States, and
47 to exercise like authority over all places purchased by the consent of the

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1 legislature of the State in which the same shall be, for the erection of
2 forts, magazines, arsenals, dock yards, and other needful buildings".

3 Sec. 7. Short title

4 This act may be cited as the "Tax Base Protection Act".

5 Enroll and engross to conform

6 Amend title to conform

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